

Form 1040

U.S. Individual Income Tax Return | Department of the Treasury — IRS

Mark Shelton | SSN: 288-90-3389 | Tax Year: 2021 | Spouse: Stephanie Shelton

Filing Status: **Married Filing Jointly**

Address: 5091 CODY EXTENSION, FRESNO, CA 93721

Dependents:

- Karen Shelton (SSN: 207-87-3784) — Son
- Joshua Shelton (SSN: 191-41-8554) — Son

Line	Description	Amount
1	Wages, salaries, tips (W-2)	\$124,404
2b	Taxable interest	\$65
3b	Ordinary dividends	\$751
8	Business income (Schedule C)	\$42,100
9	Total income	\$176,530
10	Adjustments (½ SE tax deduction)	\$1,704
11	Adjusted Gross Income (AGI)	\$174,826
12	Itemized deductions (from Schedule A)	\$30,870
13	Qualified business income deduction	\$8,079
14	Total deductions	\$38,949
15	Taxable income	\$135,876

Line	Description	Amount
16	Tax (from tax table / brackets)	\$21,021
19	Child tax credit	\$6,000
21	Total credits	\$6,000
22	Tax after credits	\$15,021
23	Self-employment tax (Schedule SE)	\$3,408
24	Total tax	\$18,429
25	Federal income tax withheld (W-2)	\$14,928
33	Total payments	\$14,928
37	Amount you owe	\$3,501

Schedule 1 — Additional Income and Adjustments to Income

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Line	Description	Amount
3	Business income or (loss)	\$42,100
10	Additional Income	\$42,100
15	Deductible part of self-employment tax	\$1,704
26z	Total Adjustments to Income	\$1,704

Schedule 2 — Additional Taxes

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Line	Description	Amount
2	Alternative minimum tax	\$0
4	Self-employment tax	\$3,408
11	Additional Medicare Tax	\$0
12	Net Investment Income Tax	\$0
21	Total additional taxes	\$3,408

Schedule 8812 — Credits for Qualifying Children

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Line	Description	Amount
4	Number of qualifying children under 17	\$2
14	Child Tax Credit	\$6,000
27	Additional Child Tax Credit	\$0

Schedule A — Itemized Deductions

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Line	Description	Amount
5	State and local taxes (subject to cap limit)	\$4,976
8	Home mortgage interest and points	\$25,894
17	Total itemized deductions	\$30,870

Schedule B — Interest and Ordinary Dividends

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Part I — Interest

#	Payer Name	Amount
1	Heritage Savings Bank	\$65
	Total Interest	\$65

Part II — Ordinary Dividends

#	Payer Name	Amount
1	E*TRADE Securities	\$751
	Total Dividends	\$751

Schedule C — Profit or Loss from Business

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Business Name	Shelton's Mobile App Development
Principal Business	Software Publishing (Code: 511210)
Accounting Method	Cash

Line	Description	Amount
1	Gross receipts	\$111,233
7	Gross income	\$111,233
8	Advertising	\$2,183
9	Car and truck expenses	\$8,829
18	Office expense	\$2,277
22	Supplies	\$2,522
27a	Other expenses	\$44,902
13	Depreciation (Form 4562)	\$8,829
28	Total expenses	\$77,394
31	Net profit (or loss)	\$42,100

Form 4562 — Depreciation and Amortization

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Line	Description	Amount
22	Total depreciation	\$8,829

Schedule SE — Self-Employment Tax

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Line	Description	Amount
2	Net profit from Schedule C	\$42,100
3	Combined SE income	\$42,100
4a	92.35% of line 3 (SE tax base)	\$38,879
12	Self-employment tax	\$3,408
13	Deductible part of SE tax (50%)	\$1,704

Form 8995 — Qualified Business Income Deduction

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Line	Description	Amount
2	Total qualified business income	\$40,395
15	QBI Deduction	\$8,079

Form 1040-ES — Estimated Tax Values

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Line	Description	Amount
1	Estimated Tax Required	YES
2	Total Annual Required	\$19,351
3	Per Quarter	\$4,837

Form 540 — California Resident Income Tax Return

CA Department of Revenue

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Line	Description	Amount
1	CA Adjusted Gross Income	\$174,826
	Standard deduction	\$11,080
	Exemptions	\$1,442
	Taxable income	\$162,304
	CA income tax	\$8,400
	SDI (State Disability Insurance)	\$1,368
	Total state tax	\$8,400
	State tax withheld (payments)	\$4,976
	Amount owed	\$3,424